

the stock than the initial cash behind it would lie in his belief that the management was worth the difference.

2. By the value of the option warrants issued to the organizing interests.

These warrants in essence entitled the owners to receive one-third of whatever appreciation might take place in the value of the enterprise over the next five years. (From the 1929 view-point a five-year period gave ample opportunity to participate in the future success of the business.) This block of warrants had a real value, and that value in turn was taken out of the initial value of the common stock.

The price relationships usually obtaining between stock and warrants suggest that the 1,625,000 warrants would take about one-sixth of the value away from the common stock. On this basis, one-sixth of the \$100,750,000 cash originally received by the company would be applicable to the warrants, and five-sixths to the stock.

3. By the salaries that the officers were to receive, and also by the extra taxes incurred through the use of the corporate form.

Summarizing the foregoing analysis, we find that buyers of Petroleum Corporation shares were paying the following price for the managerial skill to be applied to the investment of their money:

|                                                         |                  |
|---------------------------------------------------------|------------------|
| 1. Cost of financing (\$3 per share) .....              | \$9,750,000      |
| 2. Value of warrants (1/6th of remaining cash) .....    | about 16,790,000 |
| 3. Future deductions for managerial salaries, etc ..... | ?                |
| Total .....                                             | \$26,540,000+    |

The three items together may be said to absorb between 25 and 30% of the amount contributed by the public to the enterprise. By this we mean not merely a deduction of that percentage of future profits but an actual sacrifice of invested *principal* in return for management.

*What Was Received for the Price Paid?* Carrying the study a step farther, let us ask what kind of managerial skill this enterprise was to enjoy? The board of directors consisted of many men prominent in finance, and their judgment on investments was considered well worth having. But two serious limitations on the value of this judgment must here be noted. The first is that the directors were not obligated to devote themselves exclusively or even preponderantly to this enterprise. They were permitted, and seemingly intended, to multiply these activities indefinitely. Common sense would suggest that the value of their expert judgment to